17 November 2025

National Stock Exchange of India Limited
"Exchange Plaza",
Bandra - Kurla Complex,
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BSE Limited
Phiroze Jeejeebhoy Towers,
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Mumbai – 400 001

Sub: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Analyst / Investors Call

Ref: "Vodafone Idea Limited" (IDEA / 532822)

Dear Sir/Madam,

In terms of Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed transcript of the Analyst / Investors Call held on Tuesday, 11 November 2025 relating to the Company's performance for the second quarter and half year ended 30 September 2025.

The same is also being uploaded on Company's Website: www.myvi.in.

The above is for your information and dissemination to the members.

Thanking you,

Yours truly,

For **Vodafone Idea Limited**

Pankaj Kapdeo
Digitally signed by Pankaj Kapdeo
Date: 2025.11.17 18:01:30 +05'30'

Pankaj Kapdeo
Company Secretary

Encl: As above

“Vodafone Idea Limited Q2 FY ‘26 Earnings Conference Call”

November 11, 2025

C2 – Vodafone Idea Internal

Moderator: Ladies and gentlemen, good day, and welcome to Vodafone Idea Limited Q2 FY '26 Earnings Conference Call.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhijit Kishore – Chief Executive Officer, Vodafone Idea Limited. Thank you, and over to you, Mr. Kishore.

Abhijit Kishore: Thank You Renju,

A warm welcome to all participants of this earnings' call. It's a pleasure to be speaking with you on my first earnings' call as CEO. Before we begin I would like to acknowledge that this quarter marks an important transition for our leadership team. I stepped into this role on August 19 and I want to thank Akshaya as well as the other members of the management for making this transition seamless.

I also want to thank Mr. Murthy, the earlier CFO for his contributions in guiding us through a significant period of transformation. He is there on the call with us and will provide his inputs as required.

I'm equally delighted to welcome Mr. Tejas Mehta, as our new CFO, who joins us from Mondelēz with over 25 years of experience across India and international markets leading large P&Ls through periods of growth, transformation and integration.

As the new CEO my philosophy, if I have to capture it in one sentence would be - Employee First, Customer Always and Experience is Everything. The reason I believe in this is that our employees are the cornerstone of everything we stand for. Empowered, engaged and valued employees create seamless experiences for our customers whether it is a new site or a new process or a launch of a new product that makes our customers life easier. Employee first isn't just a philosophy - it's our way of life; culture to deliver our core purpose - World Class Experience that differentiates us, in this extremely competitive market. When our people feel valued, Customers feel the difference.

Let me provide a brief on update on recent AGR judgement. The Hon'ble Supreme Court via its judgement dated October 27, 2025 and November 3, 2025 has permitted the Government of India to reconsider and take an appropriate decision with reference to the additional AGR demand as well as to comprehensively reassessing and reconciling all AGR dues, including interest and penalty, up to the Financial Year 2016-17. We are in discussion with the DoT for next steps on this matter.

Before I move on to company specific performance, let me share some thoughts on Indian telecom market and growth opportunities.

The telecommunications sector is not merely evolving but being reimagined through groundbreaking technological advancements and visionary strategies. Telecommunications, more importantly wireless communication in India presents an attractive narrative of growth potential. With nearly 1.2 billion total wireless subscribers and an overall wireless tele-density of over 83%, the country has made significant progress. Urban areas boast a tele-density of nearly 127% while rural regions have reached nearly 60% and the internet subscriber base is closing in on the 1 billion mark, with a remarkable 44% originating from rural areas, signaling a profound digital democratization. The growing population, the low penetration and the increasing penetration of smartphones and affordable data plans, combined with government's vision of Digital India, are key to the long-term growth for the wireless sector.

The improving tele-density reflects the rapid digital adoption. UPI transactions grew to, 19.6 billion transactions by volume, worth nearly Rs. 25 lakh crores (US$ 290 billion) increasing almost 31% YoY. According to Worldline's India Digital payment's report released in October 2025 the transaction growth was fueled largely by frequent, low-value transactions dubbed as the 'Kirana Effect'. This grass root level participation underscores that digital connectivity is not a privilege or luxury anymore but akin to a fundamental right. The Indian government's push toward a "Digital Bharat" and "Viksit Bharat 2047" thus also relies heavily on robust telecom infrastructure.

As a telecom company, we strive to be a facilitator of the Digital Bharat journey—bringing seamless internet access to larger population and enhancing digital literacy. With India poised to become one of the highest Mobile data traffic generating nations per active smartphone by 2030, the industry needs to be innovative and nimble to keep up with the nation's growing connectivity demands.

Moving on to the results

On Monday, our Board of Directors adopted the unaudited results for the quarter ending September 30, 2025. All the results related documents are available on our website and I hope you had a chance to go through the same. Let me provide key highlights for the quarter, progress on our investments and its positive impact along with the update on our key strategic initiatives.

Let me now talk about our strategic initiatives.

Our first strategic initiative is our focused investment approach

I am glad to inform that since we initiated the launch of 5G services in Mumbai in Mar'25, over the period of last 6 months we have expanded our 5G services to all 17 circles where we hold 5G spectrum. These 17 circles contribute to nearly 99% of our revenue. In these 17 circles, our 5G services are available in 29 cities and we continue to expand the 5G services to other cities based on customer demand and 5G handset penetration.

In addition to the 5G rollout, we continue to invest towards expanding our high-speed broadband network's coverage and capacity by adding new 4G sites and upgrading our core and transmission network. We increased our 4G population coverage to over 84% as of September, 2025 compared to nearly 77% as of March, 2024. Our 4G data capacity expanded by over 38%, driving a 17% improvement in 4G speeds in September, 2025 as compared to March, 2024.

In Q2FY26, we invested Rs. 17.5 billion in capex. We added over 1,500 new unique 4G towers during the quarter, reinforcing our focus to deliver superior connectivity. We strengthened our 4G with deployment of around 3,200 new sites on the sub-GHz 900 MHz spectrum in the 16 circles. We also added over 3,600 additional sites on 1800 MHz and 2100 MHz bands — enabling faster speeds and enhancing indoor coverage. Over the period of last one year we added around 19,000 broadband location and around 90,000 broadband sites. As of September 2025, our total broadband site count stood at ~527,000. Additionally, we have also deployed over 13,000 Massive MIMO sites and more than 12,400 small cells.

Moving on to market initiatives

During the quarter, we continued to build on our core strategy of prioritizing customer experience, driving value, and fortifying our digital ecosystem. Our focus remains on delivering sustainable growth by enhancing our product portfolio across both prepaid and postpaid segments as well as deepening our presence in the digital market.

In the prepaid market, our strategy continues to yield positive results, especially with our flagship "Non-Stop Hero Plan" which offers unlimited data 24/7. This industry-first proposition has become a key driver for new customer acquisitions and an engine for higher renewals and upgrades among our existing base. This strong uptake has significantly contributed to the growth in our 4G and 5G subscriber numbers.

Another program that proved to be a great retention tool for us was the Vi Guarantee Program. You would recall that, that the program provides 2-day extra validity credited on every unlimited voice recharge @ Rs.199, which results in 24 days of extra validity distributed over 12 months for our unlimited voice subscribers. Thus, rewarding customer loyalty to the network.

For our Postpaid Customers, we launched REDX Family Plan, India's only family postpaid plan that offers unlimited 4G and 5G data and International Roaming, along with a host of premium travel, lifestyle and entertainment benefits. Built on the success of the flagship REDX postpaid plan, Vi REDX Family Plan, is a unique industry proposition where all the family members will be offered the same data benefits as the primary connection. This means that the primary and add-on members of Vi REDX Family Plan - will enjoy unlimited data, entertainment and have access to a suite of premium benefits. They will also have access to Vi Priority service where REDX customers can enjoy exclusive benefits including 24x7 dedicated customer care, priority handling at stores, and doorstep SIM delivery for senior citizens.

Easy+, our exclusive app for select postpaid customers enhanced its offerings with new features like Vi Shop and Vi MTV. It also expanded to an omnichannel experience with the launch of its website.

On the back of these initiatives, the data traffic has grown by 21.4% YoY at overall level and the data usage by 4G and5G subscribers increased by 20.3% for the same period of time. The Consumer ARPU has shown a YoY increase of 8.7% reaching Rs. 180. The number of 4G and 5G subscribers reached 127.8 mn, an addition of nearly 0.4 mn customers over the last 12 months.

We have been working on constantly improving our International Roaming Pack attractiveness for the end-consumer. Our roaming packs are now available in 151 countries worldwide. I am pleased to share that Vi remains the only operator in India to provide truly unlimited data and calls in 40+ countries, giving travelers complete freedom to stay connected without worry. Vi has also introduced a curated travel insurance proposition in partnership with Aditya Birla Capital Digital as an exclusive benefit for international roaming pack users — making every journey safer and more rewarding.

To make our network more secured for customers we launched two new initiatives under the Vi Protect umbrella, a comprehensive AI powered security measure against spam voice calls that flags fraudulent and spam calls in real time. Additionally, under Vi Protect we also launched an upgraded AI-powered Cyber Defense and Incident Response System to protect its core network and enterprise operations.

Moving on to Business services

Vi Business continued its strong momentum during the quarter, reinforcing its position as a trusted digital partner for enterprises across India. With a strengthened 5G-ready infrastructure and a diversified portfolio spanning mobility, connectivity, cloud, IoT, Business Communication and Cybersecurity, it is empowering businesses to thrive in the digital economy.

At India Mobile Congress (IMC) 2025, Vi Business demonstrated its leadership in enterprise digital transformation by displaying cutting edge enterprise solutions that were powered by AI and centered on Security. Vi Business launched IoT innovation lab India's first telco backed lab for innovation, co-creation & certification of IoT Devices & Application. Other key launches at the event were AI-powered Managed Wi-Fi solutions, Secured Hybrid SD-WAN application in Robotics, AI powered CCaaS, VR experience of IoT Labs, AI powered platform for proactive diagnosis of IoT devices, multi-cloud services, Autonomous Security Operations Centre (SOC). Vi Business also showcased growth stories of their MSME customers who were positively impacted by India's largest digital advisory service for MSME – The ReadyForNext program. The showcase underscored the Company's commitment to empowering enterprises of all scales with secure, scalable, and intelligent digital infrastructure.

Vi Business also partnered with Google to offer exclusive offers on Google Workspace for MSMEs under the ReadyForNext program, thus strengthening our position as the preferred digital transformation partner for the MSME segment.

I am happy to share we are witnessing rapid adoption of our AI-powered Contact Center as a Service (CCaaS) across BFSI, BPO, and manufacturing sectors. Vi Business's CCaaS was launched last quarter in partnership with Genesys. The rapid adoption underscores strong market demand for intelligent automation in customer engagement.

Vi Business is driving significant growth and value-led innovation in the IoT space. The Smart Metering business aims to deploy 12 million solutions in next three years, which will establish us as a key enabler of India's smart energy transition.

Furthermore, the launch of IoT Innovation Lab in collaboration with AWS and C-DOT positions us as a next generation hub. to co-create, rapidly test and scale concepts across sectors like automotive, manufacturing and connected infrastructure.

To support the exponential growth in enterprise data traffic, we are executing a focused network expansion strategy. As a part of this we are developing 'Dedicated Enterprise Corridor' across key cities - Mumbai, Pune, Bengaluru, Hyderabad, and Chennai adding over 2 Tbps (terabytes per second) of new capacity and upgrading our data centers.

These investments significantly strengthen our ability to deliver high-speed, low-latency connectivity for mission-critical enterprise applications.

Our efforts have also been recognized externally — Vi Business received the "Customer Experience of the Year – Telecommunications" award at the Asia Experience Awards 2025. Vi Business was also awarded the Best Innovative Technology Implementation of the Year at the CIO Conclave & Awards 2025 for our Enterprise connection management platform - Vi Business Assist (ViBA).

The next strategic initiative is driving partnerships and enhancing digital revenue streams

As emphasized in the earlier calls, our aspiration is to become a fully integrated digital services provider with a distinct goal of enhancing digital engagement with consumers and generating revenue through targeted streams. Our articulated strategy regarding this initiative has been to achieve it through strategic partnerships and to offer the majority of these services via the Vi App.

Over past 3 years, we have transformed Vi App from being just a mobile account management destination to a platform where users can access multiple services on a single app. Users can LIVE stream news or other LIVE TV programs on the 300+ available TV channels. Users can also play their favourite games, pay their utility bills, book metro tickets or shop across certain categories through the App. These features have resulted in robust adoption growth for Vi app as well as improvement in our app ratings.

The Vi App experience was further elevated with the launch of 'Vi Finance' this quarter. 'Vi Finance' enables users to access personal loans, fixed deposits, and credit cards directly through a simple, app-based interface. We have entered into a strategic partnership with Aditya Birla Capital and recently with InstaMoney to offer instant personal loans ranging from under 50k to up to 5 Lakhs. Customers can also book fixed deposits on Vi App by choosing from a range of options between banks & NBFCs optimizing for the best interest rates. With this, the Vi App has now expanded to include Vi Games, Vi Shop, Utility Bill Payment and Financial Services under Vi Finance- enhancing Vi App's utility as a daily digital companion.

Our Vi Movies & TV OTT App continues to strengthen as a key digital engagement driver. It offers our prepaid & postpaid users access to 20+ OTTs through various subscription options. Vi Movies & TV plans are also bundled with additional data benefits, allowing customers to stream their favourite content seamlessly without worrying about data consumption. Vi Movies & TV has grown well in terms of adoption and consumption in the last 18 months since its launch. The focus is to continue to scale, ingest more varied content and build distinct features to make the app a destination of choice for more & more consumers.

I would like to reiterate that we will continue to have a sharp and disproportionate focus to build a digital ecosystem with our partners, enabling a differentiated experience for Vi users. To this effect, we have a strong pipeline ahead and you shall see more new propositions rolling out in the coming quarters, to help deliver enhanced customer value as well as make for incremental monetization opportunities.

Moving on to capex deployment plans & other developments this quarter

With Q2 capex, we have now expanded our 4G population coverage to over 84% and rolled out 5G coverage in all 17 priority circles. We remain actively engaged with our lenders for tying up

debt funding towards the execution of our long-term network expansion plan. We had also witnessed improvement in our operational EBITDA during the quarter and Tejas will provide more color on that. With that, I handover the call to Tejas who will share the financial highlights for the quarter.

Tejas Mehta: Thank you, Abhijit. At the outset, I also want to place on record the contributions of Mr. Murthy. Thank you for your help in my transition.

Good afternoon, everyone. It is my privilege to join today's call and be speaking with all of you. It is my first earnings call, and I am excited to be part of the Vodafone Idea team. My priority will be to focus on continued operational excellence and long-term value creation.

With that, let me take you through the financial highlights for the quarter:

The revenue for the quarter was Rs. 111.9 billion, registering a growth of 2.4% on a year-on-year basis. Sequentially, the revenue grew 1.6% from Rs. 110.2 billion in Q1 FY '26. The reported EBITDA for the quarter was Rs. 46.9 billion, which improved by 3% on a year-on-year basis from RS. 45.5 billion in Q2 FY '25. This translated into a reported EBITDA margin improvement of 20 basis points from 41.6% to 41.9% during the same period.

The reported EBITDA also improved sequentially by 1.6% from Rs. 46.1 billion in Q1 FY '26. However, as you all know, we have been reporting the cash EBITDA as that provides a better view of the underlying financial performance.

The cash EBITDA for the quarter was Rs. 22.5 billion, which declined year-on-year by 3.4% from Rs. 23.2 billion in Q2 FY '25. This was as the investment cycle that was initiated in Q3 FY '25 that resulted in higher comparative network operating cost in this quarter.

When you compare the cash EBITDA on a quarter-on-quarter basis, there has been a sequential improvement of 3% from Rs. 28.1 billion in Q1 FY '26. This translates into a cash EBITDA margin improvement of 30 basis points from 19.8% to 21.1% for the same period.

Depreciation and amortization expense and net finance cost for the quarter were Rs. 55.7 billion and Rs. 46.8 billion, respectively. Excluding the impact of IndAS 116, the depreciation and amortization expenses and net finance cost for the quarter were Rs. 39.9 billion and Rs. 36 billion, respectively.

Capex for the quarter was Rs. 17.5 billion and for H1FY26 at Rs. 42 billion. We remain engaged with lenders to secure the long-term debt financing to support our Capex plans of Rs. 500 billion to Rs. 550 billion.

The debt from banks has further reduced to Rs. 15.3 billion as of September 30th from Rs. 32.5 billion as of September 30th, 2024, a reduction of Rs. 17.2 billion in the last 12 months. The cash and bank balance stands at Rs. 13.8 billion as of September 30, 2025.

With this, I hand over the call back to Renju and open the floor for questions.

Moderator: Thank you. We will now begin the question-and-answer session. The first question comes from the line of Rishabh Dhancholia with HSBC. Please go ahead.

Rishabh Dhancholia: Hi. Good afternoon and thanks for the opportunity. A couple of questions please. Firstly, on the subscriber trend. Subscribers actually increased quarter-on-quarter. What drove that? Are you seeing any churn out to BSNL because BSNL reported gross subscriber addition for the month of August to September as per TRAI actually improved. In the area where you have rolled out 5G, how has been the subscriber traction and are you seeing lower churn in those areas?

Secondly, on Capex, what is the outlook on Capex for second half of the year and how much of it is dependent on the additional capital raise? Thank you.

Abhijit Kishore: Rishabh, I will just take your question one by one. I will start with the first one that you said on the subscriber loss. Yes, you are right. There has been a marginal drop in our overall subscribers. If you look at the trend from a long-term point of view, over the last couple of quarters, we have been sequentially reducing our churn from 5.2 million to 1.6 million to a 0.5 million last quarter which has increased to a 1 million subscriber loss this quarter.

There **is** some bit of seasonality impact as well, but the fundamentals of the business are intact and we do not see ourselves making any changes to our long-term view as far as the subscriber is concerned. Also, we continue to see the 4G and 5G devices addition on our network as we are rolling out more and more 5G sites and 4G sites.

We also see a clear positive and a stable growth coming from the areas where we have invested. We have been saying that while we have increased our coverage from 77% to 84%, our endeavour is to take it to 90% and those are the areas where we will keep moving.

The other thing which has also helped in better engagement and retentivity of our customers are the propositions that I have spoken about, the' SuperHero' and the 'Non-Stop Hero' Plans, which are seeing a very good traction for us, including the 'Vi Guarantee' Program. The data usage per customer, has increased to 18.5 GB/day, is also a testament to the fact that the customers are actively involved and engaged in our business.

Coming to your second question that are we seeing any additional churn to BSNL, I do not think we are seeing that., As I said, it is more seasonality and marginal impact that we see in this quarter, and we are not changing any long-term view.

On the capex for the H2, we have spent Rs. 4,200 crores towards capex in the H1, and our guidance is that we would be in a position from a year-on point of view, roughly in the range of Rs. 7,500 crores to Rs. 8,000 crores of capex by the end of FY26. We are not really looking for any external funding for this particular capex, which is part of the internal accrual as well as the money that we have. Our focus continues to be expanding 4G and 5G coverage.

Moderator: Mr. Dhancholia, are you done with your question?

Rishabh Dhancholia: Yes. Just a follow-up on the subscriber trends. You mentioned that you have not changed your outlook or long-term view on subscriber additions. Any guidance as to when can we see positive subscriber additions or subscriber churn turning around? Any guidance on that?

Abhijit Kishore: We are keeping the customers engaged as far as our product proposition and network enhancement are concerned. Our challenge has been to extend coverage that we have not been able to do. We firmly believe that the more sites and the more 4G and 5G sites that we roll, we will start to see this trajectory inflecting to positive.

Rishabh Dhancholia: If I may, one follow-up on the Capex. You said we plan to do Rs. 7,500 crores to Rs. 8,000 crores of Capex this year. Where will this take us in terms of unique sites? We are at around 197,000 unique sites right now. Where do you think we will land up after spending this amount of Capex?

Abhijit Kishore: Rishabh, the way we look at it is a combination of the 4G - 5G layer addition, as well as some bit of core and transmission. It will be difficult to give a forward-looking statement on the number of sites, but it will be a mix between a 4G and 5G on the radio and some bit of it on the transmission and core.

Rishabh Dhancholia: Thank you.

Abhijit Kishore: Thank you.

Moderator: Thank you. Our next question comes from the line of Sanjesh Jain with ICICI Securities. Please go ahead.

Sanjesh Jain: Yes. Good afternoon and thanks for taking my question. I have got a few of them. To start with the data, data customer which saw a decline while we had growth last quarter and if I look at the last 12 months, we have added close to 90,000 BTS there on the mobile broadband side.

Now, when should we expect some traction here in terms of consistent growth coming in. If you can also help us understand how are the circles growth, where we did the capex early in the cycle to just understand how can we see that traction coming in as the other circle also mature in terms of coverage.

Abhijit Kishore: Sanjesh, thanks for the questions. There are two parts to the question that you are saying. One is on the data subscribers that you said. We have added 4 lakh customers this quarter as far as the 4G/5G subscribers are concerned and we have also, explained earlier, launched two very good and engaging propositions on the 'SuperHero' and the 'Non-Stop Hero' Program. We see that the customers are getting engaged and the data usage per customer is going up. Yes, the data customer growth is also linked to these overall subs churn coming down and hence that is one action item for us.

Second question that you asked is on the areas where we have invested early. We are clearly seeing better traction there because as and when the customers are using our services, obviously, they are getting a very differentiated experience both on the network as well as on the product proposition . We are hopeful that this curve will turn to the positive territory soon for the subscriber as well as the larger customer on the data subscriber addition.

Sanjesh Jain: Abhijit, thanks. But still can you help us understand some of the circles like Mumbai and all where we invested. How is the traction there in terms of getting the subscribers on the broadband side?

Abhijit Kishore: I mean, not specifically naming Mumbai or Delhi for that matter but in the circles where we have invested early, we clearly see better traction and lesser churn. . We see higher engagement as far as data usage is concerned and we also see better traction in customer acquisition.

The earlier part of our investment has gone into some of the urban areas and there we see a clear traction, where we see much better retentivity and engagement of our customers.

Sanjesh Jain: Got it.

Abhijit Kishore: I do not want to get into a circle level discussion, but at a national level, we clearly see that trend and obviously it is emanating from the fact that we have done early investment in urban market.

Sanjesh Jain: No. That is what I said. If I look at the country as a whole, which is the subscriber we disclosed, that at least after a last quarter acceleration, we have seen a deceleration in this quarter. But you mentioned it is purely a seasonal factor?

Abhijit Kishore: Yes, but it is more a seasonal factor that we see and we are confident that we will come back as far as the delta is concerned on the customer loss.

Sanjesh Jain: Got it. Now, second question on the customer engagement itself. If I look at the data usage per customer on our network versus the peers' network, we are at 18 GB, they are at 28 GB per month. We need to build capacity both in terms of user behaviour being similar to the peer network and then we need to add the customer. So, how are we planning in terms of expanding the capacity? So, that is number one.

Number two, peers have the advantage of having their 40% or more of the data running on 5G network, where the capacity is higher. So, they can still carry those data on the network. Now, we are very initial phase as far as 5G. Now, how will we tackle this issue of creating capacity experience and then growing?

Abhijit Kishore: So, Sanjesh, the first question on the data usage growth, you are right. We are at 18.5 GB/day, but the way we look at it from where we were and where we have reached has been a significant jump because we had not been investing for some time. In the last couple of quarters, the investment has just started, and we see a significant jump as far as, data usage is concerned aided by better network experience as well as the product proposition. That is the first part on the data usage.

Secondly, from a capacity utilization point of view, we have enough headroom right now in the both 4G as well as the 5G network because 5G, as you would know, we have just launched in the last two quarters. Then the third part is historically, this difference has been there between the competition as far as the delta on the data usage concerns. It is a combined impact for all of that.

But if you were to look at the data usage increase on our network, we have had an increase of over 20% over the last one year, which is a clear reflection of our improving subscriber engagement. Our current focus is to enable more and more subscribers to experience the improved network, and hence some of the product propositions that we have launched, which is unique, are actually addressing that need.

Sanjesh Jain: Fair enough. Just one question on 5G. It has been two quarters for us launching 5G. We start 5G at 1.5 GB data plan, unlike peers who started 2 GB. Any plan for us to move to a 2 GB so the premiumization effect keeps start playing even on our ARPU from the 5G?

Abhijit Kishore: When we had launched 5G, we had started with an introductory offer of a Rs. 299 and 1.5 GB, which we have now, in the markets where we have launched 2-3 months ago, we have changed the tariff to Rs. 349. If you see the competition's pricing, it is between Rs. 349 and Rs. 379. We have moved to that price range, in areas where we launched a couple of months back..

But in some of the markets, as you would know, out of the 29 cities that we have 5G in the 17 circles, 24 of them have come in this quarter itself. So, as and when we see a critical mass of a customer coming on to our 5G network, we will see how do we upgrade and monetize better.

Sanjesh Jain: Abhijit, what is the subscriber count on 5G for now as we speak, or end of the quarter?

Abhijit Kishore: We do not share the separate count for the 4G and 5G. It is a combined count only, Sanjesh, that we share

Sanjesh Jain: Got it. One on the capex, now that we have some more time in terms of raising capital, how do we plan to prioritize the capex, what we are doing right now? Will it be more capacity creation over the coverage? That is how we should look at it?

Abhijit Kishore: I would say it will be a mix of both. But it will be more towards coverage, because we have enough capacity as we speak and within the coverage, it will be between the 4G and 5G. So, that is the way I will put it. We will need to put some bit of it on the core and transmission as well. It will be a fair mix of all, but it will be more towards the coverage between 4G and 5G.

Sanjesh Jain: Thanks. One last bookkeeping question. There was a sharp drop in the finance cost in this quarter. Was it to do with that now the interest on the moratorium stops, because we are out of the moratorium period? Is that the reason, or is there anything else in the drop in the finance cost?

Abhijit Kishore: Tejas, do you want to take that?

Tejas Mehta: Sure. Thanks for the question. No, it is not to do with the moratorium. There have been some settlements with some various vendors, on account of which we have made some provisions in the previous quarter that are now reversed, and also a slight favorable impact on lower forex fluctuation, which has contributed to the decrease in the interest cost.

Sanjesh Jain: So, Tejas, what should be the underlying finance cost on a steady state basis for us?

Tejas Mehta: I cannot give you exact numbers, but more like previous quarter.

Sanjesh Jain: More like Q1 or it is more like Q2?

Tejas Mehta: Yes. Broadly there. There will be some differences, but broadly towards that prior quarter.

Sanjesh Jain: Prior quarter. Average of the two prior quarters will be the numbers you work with, right?

Tejas Mehta: Yes.

Sanjesh Jain: Got it. Thanks. Thanks for all those answers, and best of luck for the coming quarters.

Tejas Mehta: Thank you.

Abhijit Kishore: Thank you, Sanjesh.

Moderator: Thank you. Next question comes on the line of Saurabh Handa with Citi Group. Please go ahead.

Saurabh Handa: Yes. Thank you for the opportunity. Firstly, on the pending fund raise, I have two questions on this. Firstly, do you think banks, now that you must have been, for the discussions with them over the last couple of weeks, do you think they will be waiting for, an official relief package from the government, which I suppose could take a few months as there are no repayments due before March?

Or could this be independent of when the relief package comes, now that we do have a Supreme Court verdict? And just secondly, on this, what is the status of raising credit from non-banking sources that you have previously spoken about? Is that something where timelines could be advanced? Thank you.

Abhijit Kishore: Okay. So, Saurabh, I will take the first one and will request Tejas, do it for the second one on the rating credit from the non-banking. So, on the first one, on the fund raising, as you rightly said, we are engaged with the banks and with the recent development of the Hon'ble Supreme Court's order, it is clear and the government being a 49% holder making it amply clear that, in the Indian context, three private players are required.

We are looking at the solution which we believe will be best answered with a long-term view from the government. Our sense is that since the Supreme Court order has come recently, there might be a little bit of a dependency on that from the banks when they are looking at extending long-term funding. But we are engaged with them and working closely, as and when we get to a solution, we will come back to you. Tejas on the question on the credit.

Tejas Mehta: Sure. Saurabh, the current credit rating is BBB -. Maybe if you can elaborate your question.

Saurabh Handa: Sorry. No. What I meant was you had spoken about raising credit from non-banking sources, I guess private credit. Yes. Can that be something which can be advanced ahead of, say, funding from banks?

Tejas Mehta: Yes, Saurabh. We are talking to banks and NBFCs both, and as and when we get closer to the deal, we will come back to you. As we speak, we are engaged with multiple partners at this point in time.

Saurabh Handa: Okay. Sure and just a second question, could you just remind us of the total quantum of AGR debt which is outstanding as of September, and within this, how much would be the principal portion?

Abhijit Kishore: The principal and the interest, we cannot share, but as of September '25, is around Rs. 79,000 crores - Rs. 78,500 crores of total amount on the AGR.

Saurabh Handa: Okay. That is perfect. Thank you.

Tejas Mehta: Yes. Thank you, Saurabh.

Moderator: Thank you. Next question comes from the line of Sumangal Nevatia with Kotak Securities. Please go ahead.

Sumangal Nevatia: Yes. Good afternoon. Thanks for the chance. Sir, my first question is with respect to our end goal of 90% coverage for 4G, what is the timeline we are looking at, and how much more Capex will be required to reach 90%?

Abhijit Kishore: We are right now at 84%, and our sense is that over the next couple of quarters, we should be able to get to 90%. I cannot really give you a finite timeline right now, and the approximate capex that is required, would be, in the range of Rs. 4,000-odd crores for the coverage between our 84% to our 90%.

Sumangal Nevatia: Okay. So, a few quarters is where I think we can hit this end goal, right?

Abhijit Kishore: We are keeping the balance between expansion, getting population coverage, as well as keeping the 5G part intact. That is the reason we cannot really give you a finite time right now. But the endeavor is to get as soon as possible to 90% and bridge that gap.

Sumangal Nevatia: Understood and Sir if you look at the trend on the subscriber losses, it is encouraging to see a declining trend. What is our sense? When do you see this reversing to a gain starting, I mean, will it be now closer to that 90% goal in few quarters, or in between only in this journey we should now expect a reversal from coming months?

Abhijit Kishore: It will be in a manner as I have said before. The reason that we need to accelerate our coverage expansion is to ensure that we give better connectivity to our customers and better experience in the areas that we have not covered.

I will not say it is really linked to getting to that 90% coverage, but it will be definitely have an impact. I cannot really give you a finite timeline on turning positive. I made the comment that the fundamentals are in place, we are looking at a better engagement of customers in the markets where we have invested. Our product propositions are parallel to other players, now we are working towards making the churn positive as soon as possible. I would not really want to link it to say when we reach only 90% coverage.

Sumangal Nevatia: Understood and just one last question, with related to our discussion going on with DoT and the government with respect to AGR dues, what sort of timeline are we expecting in terms of some conclusion here? And against our Rs. 80,000-odd crores of dues, any thought process you can share? What is our ask with the DoT and the government?

Abhijit Kishore: So, Sumangal, we welcome the order from the Hon'ble Supreme Court and we are hopeful, government being a 49% player, to look at a long-term solution and we are engaged with the DoT. I cannot really give a timeline at this point in time on saying when will this get solved, but government has been extremely helpful, and we are very hopeful that it will be resolved as soon as possible.

Sumangal Nevatia: Got it. Thank you so much and all the best.

Abhijit Kishore: Thank you, Sumangal.

Moderator: Thank you. Next question comes on the line of Vivekanand with Ambit Capital. Please go ahead.

Vivekanand: Hello. Thank you so much for the opportunity. My first question is on the 5G network. You are disclosing 4G capacity and there is also a disclosure from your side with respect to using March 2024 as the reference point from a capacity addition perspective.

But I see that in your quarterly report and press release you talk about only 4G data capacity. It would really help us if you can share some additional KPIs with respect to 5G network rollout like additional capacity created and number of sites. That is one ask from my side.

The second one is the two circles where you rolled out 5G roughly two quarters back. Is the 5G network now handling a large part of your traffic? Are there any indicators you can provide here? Those are my questions on the 5G network. I will ask my other questions afterwards.

Abhijit Kishore: Okay. So, two parts to the question that you said. The reason why we look at the March '24 is because that is when our investment cycle started and hence that is a good benchmark when we were not investing and then when we started what is the kind of delta have we been able to create. Obviously, as you said, 4G data capacity has been increased by 38%.

The second question that you asked on the 5G, why we do not share, it is an initial stage. As I said earlier, we launched Mumbai in the month of March and post that in this quarter we have launched in 25 out of the 29 cities that we have launched. It is too early to make any comment while we keep monitoring trend. In the two cities or the circles where we launched 5G, the answer is yes. We have seen a much better traffic offload as far as the network on the 5G is concerned.

Vivekanand: Okay. Thank you for the color. We will wait for your disclosures on 5G in subsequent periods. Also, there are a couple of media reports that talk about you doing trials with alternative domestic vendors. Several are named by the media.

And secondly, a topic which is unrelated, one of your competitors has signed an ICR with BSNL, so particularly in rural areas where the intra-circle roaming could perhaps help provide deep

coverage. So, what are your thoughts on these two matters? And what can you discuss further to what is shared on media on both these topics?

Abhijit Kishore: I am not going to comment on what the media has written as far as these are concerned. Once our discussion fructifies, then it will be better for us to come back and talk to you. As we speak, there is no conversation that we are really having with anybody on the ICR at a BAU level.

And the first question that you said on the other partners, everybody keeps exploring opportunity, which is what we are also doing, but there is no firm change of plan as we speak.

Our partners from a network equipment point of view are what we have disclosed. So, there is no change as we speak, but from an evaluation point of view on the technical front, there would be some evaluation which we keep doing. Even the government would want the indigenous vendor, and hence we keep exploring that opportunity clearly.

Vivekanand: Okay. My last question is on the technology upgrades and the debate on 5G standalone versus non-standalone. So, previously when you were talking about, say, your just-in-time capex strategy, you would highlight that you are able to take advantage of advancements in technologies even within the standards, right, whether it is 4G or 5G.

And there, that would help you economize on your deployments. So, I want your thoughts, one, on this SA versus NSA debate on 5G, and secondly, is there a way for you to roll out your 5G network incrementally?

Because I think, you mentioned that you rolled out in 25 cities, 30 cities. Surely there is a broad scope for you to roll out more 5G. So, is there a way you are able to now think about 5G rollouts in a more frugal manner given that you are late versus, say, incumbents who set up pan-India networks?

Abhijit Kishore: Yes. So, we are going to run two parts of the question that you are asking. One, obviously, on the 5G. At Vodafone Idea Limited, we have taken the route of NSA architecture and that is what we are rolling out right now. At the same time, I can also say that at any point in time that we decide to move to the SA architecture, our current architecture is capable of moving to SA. So, when we decide the need to migrate to SA architecture, we would evaluate and do that.

As a second question of saying, how and where are we going to go? Again, the balance of capex for this year as well as going forward is going to be a fair mix of getting to a 90%, providing capacity in the markets where we decide that there is congestion and a fair bit of 5G as well.

Vivekanand: Okay. Understood. Thank you so much and all the very best.

Abhijit Kishore: Thank you.

Moderator: Thank you. Next question comes on the line of Aditya Bansal with Motilal Oswal Financial Services Limited. Please go ahead.

Aditya Bansal: Thanks for taking the question. My first question is on the network updates about EBITDA levels. So, despite rollout on 4G as well as on 5G and also seasonality in terms of power outages, the cost above EBITDA in network has been held stable and lower than December '23 before it began. What extent is that?

Abhijit Kishore: Tejas, you want to take that?

Tejas Mehta: If you look at our, network cost above EBITDA, right, and I am just looking at the variance and the trend over a longish period of time, you are right, they are slightly flattish. Last quarter-on-quarter, we have increased only marginally. Year-on-year, it has increased more and that is from the investments that we have made in the network as Abhijit mentioned. Also, there is a benefit inherent with the cost optimization that we have spoken in the past.

Aditya Bansal: Okay. But it has been lower than December '23 before you began rollout. So, that is why I was like checking out what could be the reason, is it more efficiency that you are driving, anything on the IT cost, etc.

Abhijit Kishore: We can take it offline, but there could be an IndAS 116 impact as well because there are some which are below EBITDA, but we can take it offline and cross check.

Aditya Bansal: Sure and another one was on the non-wireless side of sales. So, revenue has grown very sharply this quarter there. So, is this a sustainable trend or was there any one of benefit is on the non-wireless side?

Abhijit Kishore: What do you mean by non-wireless?

Aditya Bansal: Basically, your customer revenue and the subscriber base that you give out, so if I remove that from the reported revenues, so non-wireless or the enterprise revenue, that has increased by like 6% - 7% on a Y-o-Y as well as Q-o-Q basis. So, any particular reason there, or?

Abhijit Kishore: There is no extraordinary or one-time thing is what I can tell you on the trend. We have different businesses on messaging and other things, but there is no extraordinary item even in the non-voice or non-wireless that you are saying there.

Aditya Bansal: Sure and this last one, like obviously you are in touch with the DoT on the AGR dues, but do you think if any relief comes through, the tariff hike or any potential tariff hike that gets delayed? Like how do you look at it.

Abhijit Kishore: From a tariff hike point of view, if you really ask us, obviously, it depends on, how the industry takes shape and how the leaders take the position on the tariff hike. Is there a requirement of a tariff hike? Probably, the answer is yes. How fast and how soon can that happen, we will wait and watch. I will not really link it to DoT and the AGR judgment on that.

Aditya Bansal: Thank you. Thanks a lot and all the best.

Abhijit Kishore: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. Due to time constraints, we have reached the end of question-and-answer session. I would now like to hand the conference over to Mr. Abhijit Kishore for closing comments.

Abhijit Kishore: Thank You Renju.

As discussed during the call, our investments have led to improved coverage and enhanced customer experience. 5G services have been expanded to 29 cities in 17 circles. Our data usage has increased significantly by 7.8% QoQ showing increased engagement with our subscribers. We continue to keep exploring new avenues for debt funding for the execution of our long-term network expansion plan.

Moderator: Thank you. On behalf of Vodafone Idea Limited, this concludes this conference. Thank you for joining us. You may now disconnect your lines.